



K.P. ENERGY LIMITED

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Date: August 12, 2025

BSE Limited

Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400001

National Stock Exchange of India Limited

Exchange Plaza,
Bandra Kurla Complex,
Bandra (E), Mumbai - 400051

Scrip Code: 539686

Symbol: KPEL

Sub.: Transcript of Analyst/ Investor Earnings Conference Call held on August 7, 2025

Ref: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("SEBI Listing Regulations").

Dear Sir/Madam,

Further to our communication dated August 7, 2025, please find enclosed the transcript of the Earnings Conference Call held on Thursday, August 7, 2025, at 04:00 P.M. (IST) to discuss the Unaudited Financial Results (standalone and consolidated) for the quarter ended June 30, 2025.

The said Transcript is also available on the website of the Company at www.kpenergy.in.

We request you to take the same on your record.

Thanking you,

Yours faithfully,

For K.P. Energy Limited

AFFAN
FARUK PATEL

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AFFAN FARUK PATEL
Date: 2025.08.12
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Affan Faruk Patel

Whole Time Director

DIN: 08576337

Encl.: a/a

Reg. Office:

'KP House', Near KP Circle, Opp. Ishwar Farm Junction BRTS,
Canal Road, Bhatar, Surat-395017, Gujarat

Phone: +91-261-2234757, Fax: +91-261-2234757

E-mail: info@kpenergy.in, Website: www.kpenergy.in

ISO 14001:2015, ISO 9001:2015 and ISO 45001: 2018 Certified Company

NSE BSE Listed Company



“KP Energy Limited Q1 FY'26 Earnings Conference Call”

August 07, 2025



MANAGEMENT: **MR. AFFAN FARUK PATEL - WHOLE-TIME DIRECTOR, KP ENERGY LIMITED**
DR. ALOK DAS - GROUP CHIEF EXECUTIVE OFFICER, KP GROUP
MS. SHABANA BAJARI - CHIEF FINANCIAL OFFICER, KP ENERGY LIMITED
MR. SALIM YAHOO - CHIEF FINANCIAL OFFICER, KPI GREEN ENERGY LIMITED
MR. SIDDHARTH THAKUR - CMD OFFICE - KP GROUP

MODERATOR: **MR. HARSH PATEL - SHARE INDIA SECURITIES LIMITED**

Moderator: Ladies and gentlemen, good day and welcome to KP Energy Ltd. Q1 FY'26 Earnings Conference Call hosted by Share India.

As a reminder, all participants' lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded.

I now hand over the conference to Mr. Harsh Patel from Share India. Thank you and over to you, sir.

Harsh Patel: Thank you and good evening, everyone. On behalf of Share India Securities, I welcome you all to Q1 FY'26 Earnings Conference Call of KP Energy.

We are pleased to have with us the Management Team represented by Mr. Affan Faruk Patel – Whole-Time Director, Dr. Alok Das – Group CEO, Ms. Shabana Bajari – Chief Financial Officer of KP Energy, Mr. Salim Yahoo – Group CFO.

We will have opening remarks from the Management followed by the question-and-answer session. Thank you and over to you, Siddharth.

Siddharth Thakur: Thank you, Harsh. Good evening, everyone, and I welcome all investors, shareholders, the general public and any representative of KP Group to the First Investor Call of this financial year.

We would be tracking the Q1 Results for the First Fiscal Year. And for anybody who is joining you as well as for the existing population, I will just give a very small description of KP Energy.

KP Energy stands among one of the very few companies which currently offers integrated end-to-end EPC solutions in the wind segment in India. On the back of India achieving its renewable targets early, which was 50% generation through non-fossil fuels, KP Energy has been a strong, prominent player in driving this renewable expansion within India. We have a very unique advantage of leveraging synergies across Group companies within KP Group to deliver seamless project lifecycle management. Within wind, we do entire lifecycle of project management gamut from site identification, from logistics, construction, grid integration, and the final commission. The vertical integration ensures we have quality, cost efficiency, and accelerated timelines. We are very happy to provide with you an amazing set of results.

And now I will be handing over the call to Mr. Affan Faruk Patel – the Whole-Time Director of KP Energy. Sir, over to you.

Affan Faruk Patel:

Thank you, Siddharth. Good evening, everyone. It is my privilege to welcome you all, our esteemed investors, analysts, stakeholders, and partners, to the quarterly earning call of KP Energy Limited.

I am proud to report that we have had a strong start to the fiscal year, marked by robust financial performance, strategic progress, and continued operational excellence. Under the visionary leadership of our CMD, Dr. Faruk Patel sir, we have not only set ambitious goals, but have also consistently achieved them. His unwavering belief in forward-thinking solutions, sustainability, and inclusive growth has laid the foundation upon which our success has been built. As India accelerates its renewable energy transition, KP Energy stands well-positioned to lead with its integrated capabilities. A proven track record of execution and visionary leadership, we remain committed to creating long-term value and driving sustainable growth for all stakeholders.

Moving forward, regarding the 'Financial Performance' and 'Industry Overview', our CFO, Group CFO, and Group CEO will be addressing those aspects shortly. Thank you.

Shabana Bajari:

Thank you, Affan sir. Good evening, everyone, and welcome to the Earnings Call of KP Energy Limited towards the Q1 of Financial Year 2026. I am Shabana Bajari – CFO at KP Energy, joined by the leadership team at KP Group. Thank you once again for joining us today, and we look forward to sharing the insights on 'Financial Performance, Key Milestones, and the Future Outlook' for the upcoming quarter.

KP Energy is a prominent balance of plant solution provider in renewable energy industry, engaged from concept to commissioning of wind energy and wind-solar hybrid power projects in India. Leveraging its capabilities in site planning, infrastructure execution, and grid integration, the Company significantly contributes to nation's clean energy momentum. India today stands at a crucial juncture in its energy journey. With over 190 gigawatt of renewable energy capacity already installed, we have made commendable progress, especially in solar and wind. Yet, the road ahead remains ambitious. Our 2030 target of 500 gigawatt in India from non-fossil fuel sources, we have achieved nearly our 38%, with solar at 81 gigawatt, while wind at 47 gigawatt, both representing just about one-third of their respective targets.

In the last fiscal alone, India added over 15 gigawatt of renewable energy capacity, reflecting the nation's accelerating momentum. With policy support, green corridor, and a growing appetite for hybrid and open access solutions, we are not just catching up, we are evolving. India's clean energy ambition is bold, and every milestone we cross isn't just a number, it's a step towards energy independence and sustainability, with KP Energy being a catalyst in this journey, transforming potential into power and projects into progress.

We are pleased to share that the Company has maintained a strong financial performance for Q1 FY'25-'26. Year-on-year growth reflects consistent execution, operational improvement, and

ongoing activity in the renewable energy sector. These results point to the steady progress of our strategic direction and the inherent strength of our business model.

Let me now take you through the financial highlights of the recently released Q1 FY'25-'26 results as uploaded:

This quarter, KP Energy has witnessed numerous peak performances across key metrics over all the Q1 results until now. The Company has reported total revenue on a consolidated basis for the 1st Quarter of FY'26 at Rs. 220.6 crores, as against that at Rs. 135.2 crores during the 1st Quarter of FY'25, thereby reporting an increase of 63%. This being the highest-ever quarterly revenue on a total consolidated basis across all Q1s of KP Energy.

The consolidated EBITDA for the 1st Quarter of FY'26 stood at Rs. 49.6 crores, representing a 63% year-over-year increase in comparison to the 1st Quarter of FY'25, which stood at Rs. 30.4 crores. This also being the highest ever Q1 number, reflecting the persistent growth on operational efficiencies. The Profit Before Tax for the 1st Quarter of FY'26 stood at Rs. 34.8 crores, as compared to Rs. 23.1 crores in the 1st Quarter of the previous year, reflecting an increase of 50%.

The Profit After Tax for the 1st Quarter of FY'26 was reported at Rs. 25.4 crores compared to Rs. 18.2 crores in the 1st Quarter of the previous year, reflecting a growth narrative of 40% due to higher capacity utilization and steady revenue growth. Reflecting the Company's ongoing focus on creating values for the shareholders, the basic EPS during Q1FY26 stood at Rs. 3.81 as compared to Rs. 2.73 in the Q1 of the previous year, reflecting a 39% growth.

Our current order book stands at about 2.22 GW, inching us closer to the ambitious target of 10 GW on the group level. This has given us a competitive edge in renewables and aligned us with the long-term industry growth trajectory. Our consolidated IPP portfolio now stands at about 48.5 MW, including a combination of both wind and solar projects. The quarterly unit generation during the financial year '26-Q1 rose to 2.65 crores from 0.98 crores during the 1st Quarter of FY'25.

The O&M segment remains a cornerstone of our value proposition, enabling sustained performance and reliability across our renewable energy platforms. With a portfolio now exceeding 595 MW, we offer end-to-end support, including preventive care, data-driven diagnostics, and efficiency enhancements focused on the balance of plant components.

On behalf of the entire KP Energy and KP Group team, I extend my sincere gratitude to our investors, partners, and stakeholders for their continued trust and unwavering support in our journey. I would now open the forum for questions-and-answers. Thank you.

- Moderator:** Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Sudhir Bheda from Bheda Family Office. Please go ahead.
- Sudhir Bheda:** Yes, good afternoon, sir. And congrats to all KP Group for good results, good Q1. So, congratulations.
- Shabana Bajari:** Thank you, Sudhir sir.
- Sudhir Bheda:** Madam, my question is, the way 1st Quarter has turned out, I think will it be possible to meet the guidance which you have been giving last year also for the year 2025-2026 of like good jump in the profitability and turnover? So, what is your take in the current year FY'26 guidance as far as revenue and EBITDA is concerned?
- Shabana Bajari:** So, sir, before I jump to the guidance, I would like to here emphasize that with the turnover of Rs. 221 crores in the Q1 this year, we are in comparison to Rs. 135 crores in the earlier year at 63% of the growth. And with a 2.2 gigawatt of orders already on hand, which constitutes roughly about Rs. 3,000 plus crores of order book in terms of value, I am definitely very confident that we will be crossing all the committed thresholds.
- Sudhir Bheda:** Good. So, madam, any reason of the kind of turnover which you have clocked, so early monsoon or early onset of monsoon or some climatic conditions? Is that a reason for having this turnover of Rs. 220 crores?
- Shabana Bajari:** Okay. I would like to give you a brief insight that each contract and each task that has been awarded to us have a different kind of a composition. So, yes, there are the season factor definitely plays a role in execution and this time with almost a month earlier, the monsoon has arrived a month earlier. So, yes, this has been one of the factors. But more so, I think there are activities which are well planned and they are being taken care of. And if you compare all the Q1 over a period of so many years, you will be observing a similar trend in terms of KP Energy.
- Sudhir Bheda:** Great. And last question, IPP 48 megawatt is all energized, entire 48 megawatt?
- Shabana Bajari:** Yes, sir. It is commissioned, that is up and running.
- Sudhir Bheda:** Okay. Great. All the best. And thanks for the opportunity.
- Shabana Bajari:** **Thank you, sir.**
- Moderator:** Thank you. The next question is from the line of Shubhankar Gupta from Equitree Capital. Please go ahead.

- Shubhankar Gupta:** I have just two questions. First question is, in the 2.2 gigawatts of order book, which is roughly Rs. 3,000 crores of orders in revenue, is this on the group level or is this only for KPEL?
- Shabana Bajari:** This is only for KP Energy.
- Shubhankar Gupta:** Got it. And what is the timeline for execution with regards to KPEL on this order book?
- Shabana Bajari:** So, there are different orders having different timelines and accordingly, there are certain orders which get completed in September '25. There are orders which prolong up to even December and there are some which have the timeline beyond the current financial year as well. As you are aware, typically how a wind project works is that, we identify the resource, we identify the land, there is a site preparation going on in the infrastructure. I mean, the line and the grid infrastructure is being set up. That is being identified and subsequently, the actual execution on the site begins. So, if you span the project roughly, the average cycle of a project will be somewhere between 12, 18 or 24 months depending upon the size of the project.
- Shubhankar Gupta:** Got it, ma'am. Actually, I am a bit confused. Is this 2.2 gigawatt of order book only on the IPP bit or is it a blend of both IPP, must be on a blend of IPP and O&M? But what is the [inaudible: 0:14:58] between IPP and O&M?
- Shabana Bajari:** So, this entire 2.2 gigawatt in KP Energy is our EPC contract. So, there is no IPP element of KP Energy in this.
- Shubhankar Gupta:** Okay. Got it. So, ma'am, the second question was on the revenue bit itself. So, you mentioned in the presentation that revenue was Rs. 220 crores for this quarter. There was no split mentioned between IPP and O&M in that also. So, I want to understand that one. And within this, if there is a split, then what were the margins between the IPP projects and the O&M or the EPC projects?
- Shabana Bajari:** Okay. So, typically, as always, our EPC segment has always been heavier. And the split on the revenue has been ranging from 95% to 98%. With this quarter, we are standing at 95% on the EPC segment. The power sale has been from 3% to 5%. We are standing at 5% in this quarter and O&M is currently at 1%. Now, what is happening is that...?
- Shubhankar Gupta:** What was the second segment? I didn't understand. You said 95% was EPC. Second was?
- Shabana Bajari:** Second was power sale. That is the income from IPP segment, which is at 5%.
- Shubhankar Gupta:** Okay. Got it. And you were saying what is happening now is?

- Shabana Bajari:** Yes. In O&M, it is not happening now, it has been a practice that typically when we undertake an EPC, we also give a free O&M period. And in this free O&M period, which lasts between 1 to 2 years, and that is the reason where we are expecting the turnover to grow from this 1% to a higher percentage in the coming years.
- Shubhankar Gupta:** Okay. Got it. That's fair. Understood.
- Shabana Bajari:** You also had asked upon the gross margins on the projects, I mean, on the segment.
- Shubhankar Gupta:** Correct.
- Shabana Bajari:** So, typically an EPC contract would have gross margins of about 15% to 18%. And in case of power sale, the margins would be around 65% to 75%.
- Shubhankar Gupta:** Okay. Got it.
- Moderator:** Thank you. The next question is from the line of Ashish Khurana from ANK Capitals. Please go ahead.
- Ashish Khurana:** Firstly, my compliments to the management on what is, I think, a fantastic result year-on-year. Revenue growth, margin expansion. Very heartening to see. So, ma'am, so my question was on the 30 megawatt IPP that we did for GUVNL. So, in the past calls, some of the participants have pointed out about return on capital ratios and how, I mean, it is pretty similar to the cost of capital, which also includes debt. So, I don't want to get into all that discussion again. But what I wanted to understand was that apart from two benefits that you had cited on those calls, which was a PSS basis measurement and a steady cash flow for 25 years, were there any other benefits on, say, taxation or depreciation side, like an accelerated depreciation, which can help us improve cash flows and pay our debt faster? I mean, management did that knowing everything in advance in terms of return on capital ratios. So, what were the prime reasons for this?
- Shabana Bajari:** So, far as the 30 megawatt project is concerned, the prime reason, the first and the foremost reason, of course, is to have our own asset, number one. Number two is higher EBITDA margins, as I already explained. Number three is that while we are already making a good amount of margin on the CPP projects, we can definitely use the depreciation benefit from income tax perspective and save some of the taxes on the total profits that we earn, thereby having a positive cash flow. And this particular project would give us a chance, a fair chance to explore our own potential in terms of power sale.
- Ashish Khurana:** Okay. Understood. And for the next 50 megawatts that we plan to do this financial year or next financial year, so are we again looking for long-term government contracts or would we be

targeting mid-term agreements with private players? Just to get a sense on per-unit realization, rough sense, if you have.

Shabana Bajari:

Ashish, both the options are open to us. Like when you talk about government contracts, while the PPA amount, I mean the rate of PPA is slightly lower in terms of government contracts in comparison to the private players, but then the longevity and the quick payment cycle and of course the reliance on the government agencies is much higher compared to yes, we do get a little bit extra when we do a third-party agreement. So, it's a kind of a balanced situation and we will definitely plan looking into consideration the options available at that point of time.

Ashish Khurana:

Okay. And now coming to the EPC side, so we have discussed in the last call how a significant portion of the bid pipeline is linked to CTU connectivity. So, just for my understanding from a layman's perspective, so do the CTU approvals we already have or probably will get in the future enable us to get EPC projects from other states so that we can use our land banks in Gujarat to set up these projects and then use CTU for evacuation? Is this the benefit?

Shabana Bajari:

Okay. So, first of all, I would like to slightly clarify that there is a small differentiation when it comes to wind projects. So, there are the land parcels are to be sought only at the places where the wind resource is available, number one. So, yes, CTU connectivity and the availability of wind resource both play a very important role into this segment. I will request Dr. Das to please highlight a bit on the CTU connectivity side.

Alok Das:

Yes, I will just tell. Basically that whatever CTU connectivity is available Pan India basis, based on CTU connectivity through PGCIL and based on the availability resource and all so you can create a project in a state and you can sell this power to anywhere in the country as per the norms available. So, generally today, whatever the CTU project is coming because of the scarcity of resources and also today there is a term called the round-the-clock operations and also wind and solar and based that compatibility for the round-the-clock operations. So, typically, all these IPP investors, they are today looking for wind-dominant states like Karnataka, Gujarat, Tamil Nadu or AP and solar-dominated places like in Rajasthan or Gujarat or Madhya Pradesh and they take this power out of the states like Odisha and other places where there are a lot of consumption centers or the epicenter of the consumption. So, that is why this type of project is going on through the resource availability in the country.

Ashish Khurana:

Got it. It's perfectly clear. Lastly, ma'am, I had a few bookkeeping questions but I will probably send them offline through an email so as to not waste everyone's time. Is that okay?

Shabana Bajari:

That's fine, Ashish. Thank you.

Ashish Khurana:

Thank you so much, ma'am. Thank you, Dr. Das. All the best.

- Alok Das:** Thank you.
- Moderator:** Thank you. The next question is from the line of Rushil Selarka from PINC Wealth Management. Please go ahead.
- Rushil Selarka:** Yes, congratulations for the great sets of numbers, ma'am.
- Shabana Bajari:** Thank you.
- Rushil Selarka:** Ma'am, my question is that in this quarter we have already energized 48.5 megawatt. So, can you just tell us what is the peak unit we can generate with a PLF of 35% to 40% which we get it and what is the average realization rate per unit?
- Shabana Bajari:** Okay. 48.5 has not been energized in this particular quarter. So, 48.5 constitutes of 37 megawatt of wind project and 11.5 of solar. So, the entire 48.5 is a combination of both wind and solar, number one. Number two, I mean, the energization of the entire 48.5 was done in a phased manner. We started initially with 8.4 and then later on we went ahead with a 10 megawatt of solar. Subsequently 1.5 megawatt of solar and then 28.7 megawatt of wind. So, the plants are having different compositions. Solar PLF, we can say it ranges between 20% to 23% depending upon whether it is on fixed tilt or it is on tracker. And the wind is also ranging between 35% to 37% depending upon which particular location it has been situated on. So, this is the PLF that we get.
- Rushil Selarka:** Okay. And ma'am, till now, how much has been energized after this 48.5 megawatt, let's say, after this 11.5, how much has been energized solar and how much of this 37 megawatt of wind has been energized today? I mean, it's operational?
- Shabana Bajari:** Entire 48.5 is operational. The last energization happened in Q4 of the previous financial year where the 28.7 got energized in the last quarter of the previous financial year.
- Rushil Selarka:** So, ma'am, what will be the average realization per unit if we have to see that?
- Shabana Bajari:** So, average realization would be around Rs.7-Rs. 8 per unit in terms of solar on a gross basis and on wind it would be roughly around Rs. 6.5 to Rs. 7 on a gross basis.
- Rushil Selarka:** Okay. And in net basis if we can just give a ballpark number?
- Shabana Bajari:** So, about Rs. 5 to Rs. 5.5 on a net basis in terms of solar and about Rs. 4.5 to Rs. 5 on the wind basis excluding the GUVNL contract.
- Rushil Selarka:** Okay. And that GUVNL contract I guess it was around Rs. 3, right?

- Shabana Bajari:** Rs. 2.43. But the effective rate I would just like to elaborate a bit here. So, when you talk about Rs. 2.43 per unit the effective rate is slightly better. The reason being that there are several transmission charges and costs which are not considered in this particular that is being borne by GUVNL on the other side. So, whereas which is typically being borne by us on the third party PPA side. So, the effective rate would be higher than 2.43.
- Rushil Selarka:** Okay, got it ma'am. And ma'am I just went to the presentation about the offshore wind which is looking a great opportunity. So, just wanted to understand if we get into those projects, so will the margin be higher and is there like only few companies possess such technical capabilities to do such projects?
- Alok Das:** For this offshore initiative, it is very very nascent stage in India today. So, whatever first that offshore policy declared 2015 and now we are talking about the implementations of 1 gigawatt that is segmentized into 2 states like Gujarat and Tamil Nadu and they have come out with a study. Recently they have declared for 500 megawatt Gujarat and 500 megawatt Tamil Nadu. So, now there are some documents and policy and pre-bid discussions are going on. So, they will declare in my opinion to see that this offshore initiative will come after 5 years from today and we are in the planning stage how to accommodate ourselves for this offshore initiative like be it in the BOP or in a supply chain or some sort of other activities. We are in the planning like all other people are doing. So, obviously there should be some bidding process where we will be participating. And now for the commercial tariff today whatever the reverse auction is going on today onshore, they are stabilized at Rs. 3.5, but based on the offshore the viability with the VGF, the minimum tariff is required over Rs. 10 or Rs. 15 a unit. Obviously how the government of India and state regulations are coming that is under discussion. So, if the tariff is significant then that ventures are viable obviously, that KP will be entered to that field. So, today all are under discussion stage.
- Rushil Selarka:** Okay sir. And sir are we looking any for further expansion into IPP project under wind?
- Alok Das:** Yes, basically IPP is the segment where there is a lot of demand. Now if you see that today that whatever the country's demand so that is the segment that every state is coming under STU and if it is coming under all over India requirement through IPP. So, as a Company you know that we have already ventured into 3-4 state, the MoU and we are in the resource creation mode. So, obviously we are interested to participate in the IPP segment in future.
- Shabana Bajari:** I would also like to elaborate slightly over here that IPP as you know is a capital intensive investment. So, we will definitely try to balance both the CAPEX and also try to take the advantage of depreciation in this.
- Rushil Selarka:** And ma'am you just in the previous participant you mentioned about it was EBITDA margin or gross margin in EPC 15%-18% and IPP 65%-75% it was EBITDA margin or gross margin?

- Shabana Bajari:** It is gross margin.
- Rushil Selarka:** And ma'am what will be the EBITDA margin then?
- Shabana Bajari:** It will be roughly 1% or 2% plus minus but more or less the same because we hardly have anything which falls between the EBITDA and gross in terms of EPC contracts.
- Rushil Selarka:** And IPP ma'am, it will be same in IPP also, 1% or 2% here and there?
- Shabana Bajari:** IPP, yes because IPP we hardly if you look at the cost of the IPP, there are only the O&M and the admin costs are the cost which are the cost of the IPP and some transmission charges. Beyond that we do not have any cost in the IPP segment.
- Rushil Selarka:** Okay. Got it, ma'am. Thank you thank you so much.
- Shabana Bajari:** Welcome.
- Moderator:** Thank you. The next question is from the line of Akhilesh Kumar, an individual investor. Please go ahead.
- Akhilesh Kumar:** Okay. I wanted to know about the big CPP project we had got long back, NTPC renewal and INGEL was the two entities which gave us that 462 or something, 464 megawatts. Are we progressing very well or we are still like say behind the schedule?
- Shabana Bajari:** Okay, Akhilesh, thank you for your question. The NTPC project has been going on as per the time schedule and we have been doing it very well and also that there have been, there has been a value addition in terms of the contract value it has also been up and because of the change in the kind of turbine that we have opted and yes it is on track.
- Akhilesh Kumar:** How much percentage wise if you can give any idea?
- Shabana Bajari:** So, both, if you see it was not just NTPC it was Indian Oil as well together in the same phase. So, we had INGEL and NTPC put together and the value addition to it is approximately Rs. 15 crores.
- Akhilesh Kumar:** Okay, got it. So, we are very near to completion in this financial year?
- Shabana Bajari:** Yes, it is expected to be completed in this financial year.
- Akhilesh Kumar:** Okay, I have one more question regarding like our margins. I have been following and being a shareholder for a long time, our margins are always like say we are majorly in wind sector and

compared to solar, we are having very less competition and you say entry barriers are very high and we are in a unique position. So, logically we should be commanding little better margin than solar there, but still we are lagging that and we are far behind even if you compare our group Company KPI, at this scale also they are having 32% let us say margins but we are still at 18%-20%, what differentiates here?

Shabana Bajari:

Okay. So, firstly I would like to give a highlight about the product mix of the solar based KPI Green and also the wind based KP Energy. So, while they have about 12%-13% of IPP and balance on CPP, we have only 5% of IPP revenue and the entire 95% is EPC based, number one. That is the first reason why there is a change in the overall profitability. Number two is that, while the solar execution is a time bound activity and a faster activity whereas if you look at the number of activities which are a part of a wind execution in terms of the permissions, the liasoning and also the overall from concept to commissioning what we talk about, the number of activities are much higher and that is the reason why the site mobilization normally takes a longer period compared to solar. So, in such a scenario this is the margin which has been prevalent at par across the industry and I am rather sure that we are doing it much better than the other competitors who are in this industry.

Akhilesh Kumar:

Okay, but as you communicated earlier, not many players in EPC right to compete with?

Shabana Bajari:

Yes, But that is the nature of the industry is such, Akhilesh, the nature of the industry is such that the overall scenario, so as I said that solar can be executed at any location pan India more or less because the radiation levels are same but that does not happen in case of wind. Wind has to be executed only at locations where the wind resources are available and that is the reason why there is too much of concentration by many people in that particular location. So, even if the players are few and if you talk about say commissioning of 10 turbines and say 30 megawatt of plants, so you will have those 10 turbines more or less in and around a few epicenters of the resource. And in such a situation it is driven by the market price at that point of time and that is the reason the nature of the industry puts us in such a frame of margin.

Akhilesh Kumar:

So, going by that trend, what percentage we have IPP, is still 5%, so our margin profile will still remain in this range itself right? We are not going to catch up around 30%?

Shabana Bajari:

We are trying to enhance our IPP portfolio, but as I said it is a capital intensive project and we need to balance our balance sheet as well as our CAPEX requirements and accordingly we need to plan the IPP. So, over the period of time we do foresee that we will enhance the percentage of the IPP segment and we also foresee a surge in the O&M activity as well. So, we do envisage there will be an upward movement in terms of overall margin coming period of time.

- Akhilesh Kumar:** Okay, got it. One last thing. Yesterday's call, Faruk Patel sir was there and he was talking about that KP Energy also we are expecting huge orders. Are they coming in this quarter itself any hint on that?
- Shabana Bajari:** I understand, Dr. Patel also specified that in September we will be expecting the orders to come. It was already mentioned in his interview.
- Alok Das:** Yes, that is what our CMD has told. We are in the line of that directions only and that whatever IPP projects we are targeted what he told, Dr. Patel told, we are in that same path and we are expecting the same way.
- Akhilesh Kumar:** Okay, that is very good news. And one last thing on the PPT front, yesterday I talked on KPI as well. You have given our 2030 ambitious target of 10 gigawatt, why don't you can also give the target for our KP Energy as well because you have in the group level maybe dozens of companies listed, unlisted, so it doesn't make any sense for a shareholder like to what it means to KP Energy?
- Alok Das:** I will just tell the answer for that. As a group level as on today we have a capacity of 5.9 gigawatt. So, what our Dr. Faruk Patel has suggested 10 gigawatt as our vision for as a group level. So, that is what KPI and KP Energy all together we made a group target of 10 gigawatt.
- Akhilesh Kumar:** So, KP Energy we don't have any target separately?
- Alok Das:** No, we don't, but if you segmentize as a group level because something like hybridization we are doing on the KPI and if it is a purely wind and other things. So, this will come under KPE. So, obviously group level, we should put our strive to that direction only, that what is your group level direction.
- Shabana Bajari:** Akhilesh, also like when we are looking at the target set by India at 500 gigawatt since it comprises of several segments in the renewable sector here also we do not want to stick to one particular industry or one particular segment of solar or wind separately and that is the reason why the entire target has been taken on a group basis.
- Akhilesh Kumar:** Got it, but it is a Company wise presentation, right? Not a Group wise presentation. So, for shareholder --
- Shabana Bajari:** We have mentioned, we mentioned it on group basis, we have mentioned in the presentation itself.
- Akhilesh Kumar:** Okay, but KP Energy is not mentioned like for what we have, but anyway that is not a big deal. Thanks a lot for doing good work. That is it from my end.

- Shabana Bajari:** Thank you.
- Moderator:** Thank you. The next question is from the line of Deepak Jindal, an Individual Investor. Please go ahead.
- Deepak Jindal:** First of all, congratulations team for a good set of numbers. Many congratulations. Ma'am my question is around the order deals only, the new incoming orders. When we say that we can expect some big orders at KP Energy by end of this quarter, may be September end, any particular color on these orders, means what defines a big order for KP Energy will it be more than let us say 300-400 megawatt kind of an order and any maybe color on the nature of these orders?
- Alok Das:** There are some multiple discussions going on because you know that we are the EPC contractor, we have got land and key resources and all. There are multiple discussions going on, mostly it is coming on the hybridization of wind and all. So, whatever we are talking multiple some projects under the active discussion. So, obviously what is the target line we are fit, and we are optimistic that we can meet the target and something will come and we will let you know at appropriate time about the closure of the contract.
- Deepak Jindal:** Sure. But we are kind of confident that these orders will be coming by September end, that is the timeline that Dr. Faruk Patel had mentioned in the interview as well, right?
- Alok Das:** Yes, we are just working in that direction only.
- Deepak Jindal:** Another question was on the pipeline as well. A bit about the color on the demand and supply, especially on the wind side. So, do we still see the demand is extremely high and the supply is limited. So, everyone will get a fair share of the pie?
- Alok Das:** The thing is that, the demand is tremendously high. Why it is high, because today whatever we have completed at the country level, it is 230 gigawatt, another 270 gigawatt, that emulates to 500 gigawatt. So, per year, there is a requirement demand cycle is over 40 gigawatts. So, on these 40 gigawatts, the main whatever the demand is coming but the creation of land and PE which is the crux of the story for all kind of projects. And where is the KP, we are in the spree of creation the resources and all to meet that demand. So, we are very-very correct positions of ourselves that we are creating continuous research creations and other thing and we're optimistic we can meet that and demand there is lesser demand than whatever is going on in the futures.
- Deepak Jindal:** Got it, that's comforting sir. One last bookkeeping question from my side. Maybe to Ms. Shabana Bajari. Ma'am actually in the last quarter of the financial year, the last financial year same quarter, we had some other income around 8 Cr. right just wanted to understand the nature of this other income because this particular quarter we had only reported 1 Cr. So, this is bit lumpy.

Just wanted to understand how would the other income be generated in this financial year in comparison to the last financial year?

Shabana Bajari: Yes. Deepak, last financial year, we had some small insurance claim and that had materialized at that point of time and that is the reason why the other income was slightly higher as compared to the normal trend that we observe.

Deepak Jindal: Okay, so any rough idea ma'am, maybe what can be a sustainable other income because it's kind of no fluctuating a lot, that's why I am asking. Will we expect a decent other income maybe in a ballpark range if you may give for this financial year?

Shabana Bajari: Yes, on a quarter-to-quarter basis, you can expect about 1-1.10 crores roughly on quarterly basis. That will be normalized.

Deepak Jindal: Sorry, I didn't get the figure ma'am.

Shabana Bajari: 1 crore to 1.1 crore.

Deepak Jindal: Okay 1 to 1.1, so maybe around 4 to 5 Cr. on a financial year.

Shabana Bajari: Yes.

Deepak Jindal: Got it, ma'am. Wish you all the very best, ma'am.

Shabana Bajari: Thank you, Deepak.

Moderator: Thank you. The next question is from the line of Sunil Kumar, an individual investor. Please go ahead.

Sunil Kumar: Thank you. Congratulations on the great set on this exceptional quarter. Ma'am, my question is to you, going back to your first con-call in September 2024, at that time the order book was 2 gigawatts, the order book value was Rs. 3,350 crores right and ever since and then at that point in time we said that we should be able to execute this order book in the 15 to 18 months. So, give or take excluding the September 2024 we have already done nine months. We have done close to about 800 odd crores - 825 odd crores. If I include those 18 months on September 2024 basically it's May 2026. So, are we saying that in the next nine months we should be able to do a delta Rs. 2,500 crores of order? Are we able to book those orders of Rs. 2,500 crores in the next nine months because that is what we have said in September 2024 when we started, when we had the first concall. That's my first question. Second question is on the target IPP portfolio, when you said, okay, we are looking at 100 megawatts, 50 megawatts which we've already energized 48.5-49.5 we have already energized. The remaining 50 we will look into FY'26 and

whether this 50 would be either wind or solar or a combination would be decided. And is there a plan in terms of the remaining 50 megawatt to be done by this FY'26 or where we are? And the last one is on the KPI Green order which we had as a part of a 2 gigawatt portfolio in September 2024. How much has been executed and where do we stand with respect to completing that order?

Shabana Bajari:

Okay. Thank you, Sunil for all the questions that you've asked. So, first I will address your first question where you wanted to have a visibility of the execution. So, yes, as I told before as well that the entire tenure of a particular contract ranges between 12, 18 to 24 months depending upon what is the scope and what all is covered and while we look forward to execute at a faster pace and that is the reason why we have, when we committed in September '24 regarding the completion by the end of 1.5 to 2 years, what is more important is that, that is what we are looking at for our internal target. However when you look from the contractual perspective and when you look from our client perspective, our overall timelines are larger. I mean, when you look at contracts, they have a timeline up to October '26 whereas we are envisaging and we are looking forward to complete it by March or even May '26 for that matter. So, we do not want to set our goals low, we want to set our goals high and we want to work hard to achieve them. So, that is the reason why you might be observing some kind of a variance in terms of what our aspirations are and how the contractual requirements are, number one. Number two coming to your question on the IPP segment? This quarter we may look for 20 megawatt to be added in the coming months, not maybe this quarter but in the coming months we are looking for that out of the 50 megawatt which we have a target and in such a scenario, yes there is a possibility that we may have a larger contribution from the IPP side. The third question if I remember was from the KPI perspective where you were looking at how much have we completed in that. So, here I would like to tell you that 70 out of the first phase, just give me a moment. I will tell you the number. So, about 92 megawatt on DC capacity have already been installed by us for the KPI order. So, that comprises of wind and solar components, 75.2 of DC capacity of solar component and 16.95 of wind component put together.

Sunil Kumar:

So, out of one gigawatt we have so far done about 100 megawatts is it what I take? The KPI Green order is one gigawatt.

Shabana Bajari:

So, when you talk at one gigawatt, yes there are other orders which are still under execution but out of that this much has already been installed by us.

Sunil Kumar:

Okay and then one last question, when we talk about the order book it is an unexecuted order book, right?

Shabana Bajari:

Yes, so 2.2 what you're seeing in terms of gigawatt is the unexecuted order book.

- Sunil Kumar:** Right and so between last September and this June, this quarter, so last September it was 2 gigawatts unexecuted order book this June or July or August, which is 2.2 gigawatt. So, it is not the net addition and I understand that some of the orders would have been completed. So, if you can give us a picture in terms of what, how much of order has been executed in the last 1 or 2 quarters maybe because I am just comparing from September 2024 because that's when we had the first concall to see how the journey has been?
- Shabana Bajari:** So, here I would like to specify that there are two aspects. I spoke this I think in earlier conversations as well. When you talk about the execution in terms of capacity, so the energization or the installation constitutes only when the entire energization as per the terms and conditions of the statutory authority gets completed. Whereas you talk about the value of the order that gets completed as milestones are achieved, stage by stage. So, here it would not be appropriate to match the order book in terms of value together with the order book in terms of gigawatt. So, yes, off late we have installed as I told you about 92 megawatts for KPI. We have completed 23.1 megawatt for Aditya Birla. That is since the last two quarters we have completed these and also a small portion for our KPI another client as well. So, put together yes we have achieved about I am not sure about the number but it is there in the presentation if you can have a look at that and it will be, you will be able to find out how much megawatt has already been commissioned in terms of these capacities.
- Sunil Kumar:** And for this 20 megawatts of IPP right, are you trying to raise debt or equity or dilute equity is that what is in plan ma'am or it is like internal accruals?
- Shabana Bajari:** We are trying from internal accruals. We are planning from internal accruals.
- Sunil Kumar:** Thank you so much, ma'am. All the very best. Looking forward to a lot more success with KP Energy, for the entire KP Group for that matter. Thank you so much.
- Shabana Bajari:** Thank you so much, Sunil. Thank you.
- Moderator:** Thank you. The next question is from the line of Gopinath Chenna from CDK Global. Please go ahead.
- Gopinath Chenna:** Congratulations for great set of numbers. I have one question. So, you said there is an unexecuted order of 2.3 gigawatts, right. In that what is the order from KPI and what is the order from [Inaudible: 50:04]?
- Shabana Bajari:** About, just a minute, if you allow me a moment, 1.3 gigawatts is from KPI and the balance is from other entities.
- Gopinath Chenna:** Okay, so is there any new orders we received during this quarter or last quarter?

- Shabana Bajari:** So, as we spoke earlier as well that there are lots of orders in the pipeline and as already announced by our honorable CMD we are expecting an order in flow by Quarter 2 and that is what we are looking at.
- Gopinath Chenna:** Okay, thank you. Congratulations for that. All the best.
- Shabana Bajari:** Thank you so much, Gopinath. Thank you.
- Moderator:** Thank you. The next question is from the line of Shikha Mehta from Time & Tide Advisors. Please go ahead.
- Shikha Mehta:** Good evening. Congratulations on a great set of numbers. I just had a few questions. So, I understand we said that we're expecting order listing to happen from September but what is our bid pipeline currently, what stand in value terms?
- Shabana Bajari:** Okay, so as I told you that roughly we have a 3 gigawatt bid pipeline. We keep on looking for opportunities and avenues which are open as Dr. Das already pointed out that the market is super booming and as you already know that the project typically is a capital intensive project even for our clients and that is the reason why this normal gestation period of converting the bid pipeline into order book is what normally takes time. So, I think Dr. Das would elaborate more on what is our order bid pipeline.
- Alok Das:** See, now this whatever the tendering process is happening today, mostly in the solar base and all conditions and pan India, it is coming in a gigawatt scale bidding and we have targeted in the under participation of the bid. It will take its own pre-bid meeting and process and all. So, we have already targeted to that kind of things and I have already told that guidance that we are targeting for participating the bid in for future projects.
- Shikha Mehta:** Understood, and I understand that we have a very scarce competition most of them are smaller regional players, but if you could name someone who's our closest competitor it would be really helpful.
- Alok Das:** Like competitors, you see there are there are so many competitors today.
- Shikha Mehta:** But I want to understand what sets us apart is the scale and the execution capability that we have right and..., if you could just help me understand?
- Salim Yahoo:** Yes, so from the execution capability we have a three-decade experience. We have almost more than 500 windmill across. So, if you see very few players, see, we are one of the players who has capability of solar as well as wind. So, solar and wind, if you look at other players like Sterling & Wilson only has a solar or if you look at Suzlon, they only have wind. So, we are a

hybrid player also along with wind. So, that's the reason know if you look at apple-to-apple comparison you'll find very rarely any competitor, but at the largest scale there will be two individual segment or something like only wind only solar there will be a lot of competitors that's what Dr. Alok told.

Alok Das:

No, I just want to add here. Basically what happened, in the market today maximum people are in the OEM kind of nature. So, they supply for the equipment, and BOP expertise is very scarce today in India. So, whereby KP is coming, we have got expertise for the balance of plan development and execution of the project. In that consideration and parameters we stand very very remarkable position in India.

Shabana Bajari:

Also Shikha, I would like to add one more thing is that if you would go to a presentation and see the business model, you will find that right from the WRA that is the wind resource analysis, right from the conceptualization of a wind farm until the grid connectivity and the infrastructure whereby the power eventually gets energized and evacuated, the entire set of activities under one EPC contractor is something which is not very easily found. So, while you will have people who come and say, oh, we have connectivity or we can find the land parcel but execution you need to get it done through somebody else, then that becomes a challenge. Whereas for us we also have two large cranes within our group entity and that is where we have ease of operations where we need to speak about the logistics. And recently if you go through, even overall it has been recognized that the EPC players they are very scarce and that is the reason why the wind energy projects have slowed down in terms of economy as a whole whereas in terms of we, we stand in a very beneficial position.

Shikha Mehta:

Understood. And lastly if you could just help me understand we spoke about increasing our margins as IPP portion increases on the EBITDA front, but what kind of impact would that have for PAT? Wouldn't that be more or less in a similar range or do you see that increasing as well once if you had depreciation, etc. is aligned?

Shabana Bajari:

I think more or less our PAT margins have been consistent if you must have gone through our previous results and as I told before as well that this is the typical nature of an EPC business whereby we really end up taking up a larger timeframe contract and that is how the margins are. So, we do try and we have been optimizing our costs and I would say we are getting more focused on effective execution but as the volume grows in absolute numbers we definitely have better margins

Shikha Mehta:

even at the PAT level?

Shabana Bajari:

Yes.

- Shikha Mehta:** Alright, that was all from my side. Thank you and congratulations again on great execution and great set of numbers.
- Shabana Bajari:** Thank you, Shikha.
- Moderator:** Thank you. The next question is from the line of Darshil Pandya from Finterest Capital. Please go ahead.
- Darshil Pandya:** Good evening, thank you. My first question would be with regards to the debt that we have. So, I understand that with the kind of scaling up we are doing in the revenues we need today, the debt levels are rising. But what are we doing to keep it under check and in order to understand how things will be going forward?
- Shabana Bajari:** So, the primary reason for the debt, Darshil, is the IPP project that we have taken up and that is where the long term debt arises from. So, well as I told before as well that we are planning for another 50 megawatt to reach our target of, Company target of 100 megawatt of IPP but we want to phase it out and do it in a planned manner, so that we do not really load our balance sheet with the debt as this being a capital intensive project.
- Darshil Pandya:** Got you. And the 252 crores of fixed assets that we see the jump, is all of IPP?
- Shabana Bajari:** **Could you repeat your question again?**
- Darshil Pandya:** This is in regards to the fixed assets that you know we have seen a jump from roughly 170 odd crores.
- Shabana Bajari:** Yes, it is. Recently as I told that in the last quarter, last to last quarter we had the energization of a 30 megawatt wind plant which actual capacity energized is 28.7, so the fixed asset jump is purely because of that.
- Darshil Pandya:** Okay and just to understand, madam, how does the calculation work in this? What have we invested and what kind of revenues are we you know anticipating from this specific portfolio?
- Shabana Bajari:** Okay, so as I said about the IPP projects it's a combination of both wind and solar and it's also a combination of the PPAs with government entity and non-government entity. So, while we do have the generation on the cyclical seasonal factors are definitely there in that but then for us it becomes balanced because a part is solar, and a part is wind. So, typically in monsoon season when solar is slightly down we also have better generation in wind that being the season of wind. So, it kind of balances for us and on an average depending upon the buyer, I mean the PPA, Company with whom we signed the PPA more or less we have good margins in terms of the IPP segment.

- Darshil Pandya:** All right understood. The final question would be on the EBITDA margins. I heard you saying about how we can, how we will see an increase through the IPP segment. But overall since we did around 22% for this quarter, can we maintain this 21%-22% for the rest of the year or say see some more jump or some downwards to understand?
- Shabana Bajari:** We are consistently focused on the cost control and also the operating efficiencies and we look forward to maintaining more or less the same margin.
- Darshil Pandya:** All right. Thank you so much and all the best to the whole team. Thank you so much.
- Shabana Bajari:** Thank you, Darshil.
- Moderator:** Thank you. The next question is from the line of Akhilesh Kumar, an individual investor. Please go ahead.
- Akhilesh Kumar:** Hi Shabana. One small query regarding this quarter's PAT figures. We have grown EBITDA by 63%, revenue by 73%, but PAT has grown only 40% majorly because of our 93% rise in interest costs and depreciation. Are we going to have that kind of a trend in this quarter as well?
- Shabana Bajari:** So, with the increase in the turnover and the expected turnover, it is very obvious that we will have an increased tax impact as well. So, yes, more or less it will follow the same path and also that we've got the asset capitalized in the last quarter of the previous year. The depreciation has also enhanced to that extent.
- Akhilesh Kumar:** That IPP thing CAPEX you are saying?
- Shabana Bajari:** Yes.
- Akhilesh Kumar:** Okay, got it. And this quarter also you are facing any seasonality because of the extended monsoon?
- Shabana Bajari:** Yes, basically we do try to plan the execution in a way that we have a kind of a balanced operations across the year and as I said that there are different milestones in each contract and we do try and plan it so that we have a balanced revenue booking. So, we are making efforts to ensure that seasonality really does not affect us much but well monsoon is there and it shall stay so.
- Akhilesh Kumar:** Okay and that depreciation is because this quarter we don't have anything to do additional right? So, it should remain the same?

- Shabana Bajari:** As I said before that we are looking for an addition to IPP in a phased manner with the 50 megawatt yet to be executed. So, there will be slight addition in the coming quarters.
- Akhilesh Kumar:** Okay, got it. Thank you. That is it.
- Shabana Bajari:** Thank you, Akhilesh.
- Moderator:** Thank you. Ladies and gentlemen that was the last question for today. I now hand the conference over to management for closing comments.
- Siddharth Thakur:** I want to thank all the investors, shareholders and any other people who have joined this call. As we have been continuing over the last 4 to 5 quarters and especially since last September since we started the conference call, KP Energy has demonstrated a strong concurrence of results both revenue accretive and EBITDA accretive and we will ensure we will continue to do so. And I would like to again highlight the fact that we are one of the very few EPC companies in entirety of India that does end-to-end execution of wind projects and we will capitalize on this fact as India's wind market goes forward and we establish a stronger domination to both our own IPP assets as well as the EPC segment that will capture to our expertise. Again thank you all for joining the call and that would be all from KP Energy. Thank you.
- Moderator:** Thank you. On behalf of Share India Securities concludes this conference. Thank you for joining us and you may now disconnect.
